

OF CARBON

PLAYING THE CREDIT CARD

GFL has made about Rs 667 crore* over the past 18 months by selling over 9 million CERs. It has set up a system to decompose HFC23, a potent green house gas.

GMR uses bagass and biomass to power its sugar project instead of depending on the grid or fossil fuel. It earned Rs 3 crore from sale of CERs last year.

DMRC uses regenerative braking. Capitalising on the modal shift from roads to rail, it expects to generate Rs 74 crore* from sale of CERs.

RAILWAYS expects to earn 1.1 million CERs from using light-weight coaches, solar lighting at crossings and use of bio-diesel.

GRASIM blends fly ash with cement, uses alternative fuel and conserves energy.

ITC has saved half a million tonne of coal and reduced emission of green house gases by conserving energy, afforestation and use of alternative fuels.

BRTS removed nearly 600 tempos and 100 minibuses from Indore. It will replace autos with CNG radio taxis and earn Rs 3.7 crore* by 2010.

GFL: Gujarat Fluorochemicals Limited; BRTS: Bus Rapid Transport System, Indore
*Revenues from sale of CERs are estimates at an average price of €13 per CER

another 50,000 CERs are pending with the UNFCCC. At an average of €13 (Rs 745) per CER, this could mean revenues of Rs 4 crore. The company blends fly ash with cement, conserves power, uses alternative fuel and has a waste recovery system. "If all the four processes are implemented," says Maheshwari, "the Indian cement industry can reduce its CO₂ emissions by 30 million tonne a year." This amounts to an annual saving of Rs 800-1,000 crore. The cement industry generates 5 per cent of India's total CO₂ emission—130-150 million tonne every year.

ITC has saved about half a million tonne of coal so far, thanks to its fuel conservation and afforestation projects. It expects to save a lakh tonne every year, says Pradeep Dhobale, CEO, paper business, ITC.

The benefits of carbon trading may go well beyond reducing CO₂ emissions. A report by researchers at the Indonesia-based Centre for International Forestry Research and the US-based Forest Trends reveals that carbon trading, involving reforestation, could help reduce poverty in rural areas. For instance, in the Ilandia forest range of Madhya Pradesh, 95 villages could earn at least \$300,000 (Rs 1.2 crore) a year from carbon payments by restoring 24,700 acre of degraded community forests. In 2004, Powerguda, a village in Andhra Pradesh, sold carbon credits worth \$645 (Rs 26,000) to the World Bank—a first for an Indian village—by extracting bio-diesel from Pongamia trees.

But not everyone is convinced. Anti-trading groups argue that rich countries are likely to use trading as an excuse to avoid reducing industrial emissions. The fact remains, however, that the cost of reducing emissions is much lower in India than in the developed world. India has 282 CDM projects registered with UNFCCC—the highest, which is more than double that of China. However, India's projects are on a small scale. According to the World Bank's 2007 report on 'The State and Trends of the Carbon Market', CERs worth an estimated \$30 billion (Rs 1,20,000 crore) were traded in 2006, three times more than those traded in the previous year. China dominated the supply market with a 61 per cent share of volumes transacted.